

Options Greeks Simplified

Delta, theta, gamma, and vega explained in plain English with real examples.

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The Greeks are measurements that tell you how an option price will change in response to different factors. You do not need to calculate them. You need to understand what they mean for your trade so you can make better decisions.

DELTA

How Much the Option Moves

Delta measures how much your option price changes for every \$1 move in the stock. Delta of 0.50 = option moves \$0.50 per \$1 stock move. ATM options ≈ 0.50 delta. Deep ITM approaches 1.0. Deep OTM approaches 0.

THETA

Time Decay

Theta is the amount your option loses each day from time passing. Theta of -0.05 = loses \$5 per contract per day. Time decay accelerates as expiration approaches — this is why holding options into the last few days is so risky.

GAMMA

Rate of Change of Delta

Gamma measures how fast delta changes as the stock moves. High gamma = delta changing rapidly. Most pronounced near expiration and at-the-money. High gamma amplifies both gains and losses — this is why ODTE options can double or zero in minutes.

VEGA

Sensitivity to Volatility

Vega measures how much your option changes when implied volatility changes. Buying options before earnings when IV is high then selling after when IV collapses is an IV crush — it destroys call buyers who were right on direction.

GREEKS QUICK REFERENCE TABLE

GREEK	WHAT IT MEASURES	HELPS OR HURTS BUYERS	AS EXPIRATION APPROACHES
Delta	Option movement per \$1 stock move	Helps — higher delta = more participation	ITM options approach 1.0, OTM approach 0
Theta	Daily time decay	Hurts — value lost every day	Accelerates — decay speeds up near expiry
Gamma	Rate delta changes	Helps if moving your way, hurts if not	Increases sharply — more volatile near expiry
Vega	Sensitivity to IV change	Helps when IV rises, hurts when IV falls	Decreases — less time = less IV sensitivity

HOW GREEKS CHANGE AS THE STOCK MOVES

STOCK POSITION VS STRIKE	DELTA	GAMMA	THETA IMPACT	VEGA IMPACT
Deep In the Money	0.80 – 1.00	Low	Low	Low
Slightly In the Money	0.55 – 0.80	Moderate	Moderate	Moderate
At the Money	~0.50	Highest	Highest	Highest
Slightly Out of Money	0.20 – 0.45	Moderate	Moderate	Moderate
Deep Out of Money	0.01 – 0.20	Low	Low	Low

TST RULE

The most dangerous combination for options buyers: deep OTM + near expiration + high IV. You need a massive move in a short time while paying a premium that collapses the moment volatility drops. Most ODTE OTM lotto plays fall into this category.

Full options curriculum including the Greeks, strategies, and real trade examples in the TST Academy at topstocktrading.com